

Where:

Δd = increase in deposits for the whole banking system

Δa = increase in initial deposit

r = required reserve (cash) ratio

The percentage of deposits which a bank keeps in the form of cash is called the *cash reserve ratio*. The process described above takes place in the banking system as a whole. The total of bank deposits is at present many times as great as the total amount of cash in existence in the country, whether in the hands of the public or the tills of banks, so clearly the banks together must have expanded the volume of deposits without an equivalent amount of cash having been deposited with them.

14.5.1 Limits to Credit Creation

The supply of money depends largely on the lending policy of the banks, but their power to create credit is restricted. They do not have unlimited power to create deposits, their ability to do so is restricted in several ways:

- i) *The Clearing House Imposes a Restriction* on an Individual Bank: A single bank cannot adopt an expansionist credit policy unless the other banks are willing to do the same. In other words, the banks should keep their credit policy in line with one another, expanding or contracting credit together.
- ii) *The Liquidity Ratio*: A banker knows from experience what proportion of his assets to keep in liquid form, but they must be able to convert their other assets into cash if circumstances require it without undue delay and if possible, without loss. Thus, a banker's main concern is with the liquidity of their assets. This limits the extent of their willingness to lend and the amount of investment it is prepared to undertake, for the banker must maintain certain liquidity rules.
- iii) *The amount of cash in existence*: The supply of cash or legal tender money is not unlimited. The government and the central bank determine the quantity of legal tender money available in the country. The bank's power of creation of credit is limited by this quantity.
- iv) *The amount of cash people prefers to hold*: The monetary habits of the people constitute a limiting factor. If people do not put money in deposits in the banks but keep their cash themselves in a liquid form, bank deposits cannot grow and banks cannot create money. Increasing confidence in banking and greater use of cheques has reduced the demand for cash.
- v) *The Collateral Security Available*: Before a commercial bank grants a loan, it wants to know the purpose and length of time for which it is

required and how it is to be repaid. In addition, the borrower will probably be asked to give the bank some kind of collateral security which the bank can turn into cash if the loan is not repaid within the stipulated time. It is, however, an important banking recipe that the first consideration in such cases is the character of the borrower, for the banker prefers a loan to be repaid and for the collateral security to be at his disposal only in an emergency. The more liquid the security – that is, the greater the ease with which it can be turned into cash without loss – the more acceptable it is to the bank. The amount of security available may tend to limit bank lending.

- vi) *State of the Economy*: Banks can create money only by lending money and this depends on the state of the economy. Money is borrowed when there are opportunities to use it in new ventures. When business conditions are depressed, loans are not taken and banks cannot create money. Thus, one finds that the extent to which banks can at any time create credit depends on the general state of confidence.
- vii) *Monetary Policy of the Central Bank*: The final restriction on the creation of credit by commercial banks comes from the monetary authorities. The central bank of a country can, in various ways, control the volume of loans given by banks. The most important control over the expansion of bank credit, however, comes from the monetary system.

Crowther observes that “the bank does not create money out of thin air; it transmutes other forms of wealth into money”. The total volume of income-yielding securities available in the country sets the overall limit to the process of credit creation. But the need for keeping a cash reserve, however, small it may be, restricts the power of the bank to ‘create’ money *ad lib*. ‘Creating’ money involves an increase in the bank’s deposit liabilities, and the bank cannot afford to let its cash reserve fall below 10 per cent of its total deposit liabilities.

14.6 PRINCIPLES GOVERNING DISTRIBUTION OF ASSETS OF COMMERCIAL BANKS

A banker is torn between two conflicting motives; on the one hand, it would like to expand its loans to make more profit, and on the other, it is anxious to hold sufficient cash so that it can at all times fulfil its obligation to pay cash on demand. A banker, too, must be able to turn its assets into cash without loss if it is to satisfy the claims of its depositors on him in full. Cash is an asset that yields it no income, and so it does not wish to hold an unnecessarily large amount of it, so it will ‘*minimise*’ its cash holdings. A banker must always be prepared, if necessary, to meet abnormal demands for cash, and so it must hold assets in fairly liquid form which in an emergency can easily be turned into cash. The liquidity of its assets is therefore a banker’s primary

concern, and the *distribution of assets represents a compromise between its desire for profit and its desire for liquidity*, for the more profitable an asset the less liquid it is likely to be. The more liquid assets of clearing banks comprise the first four items in a bank's balance sheet: (i) notes and coins, (ii) balances with the Central Bank i.e. Reserve Bank of India, (iii) bills, and (iv) market loans — all of which can be turned into cash quickly with little if any, financial loss. One aspect of liquidity is the '*shift-ability*' of the asset that is, the ease with which it can be passed on to some other institutions, such as the central bank. Most bank assets are shiftable in varying degrees, except those advances which are supposed to be supported simply by the good name of the borrower.

14.6.1 Liquidity versus Profitability of Assets

A bank must conduct its affairs to maintain adequate liquidity. The aim of every bank is not only to cover its expenses but also to make maximum profit. It endeavours to keep its assets in such forms as to yield maximum income. *There is a clash between the objectives of liquidity and profitability.* The most liquid of all assets is money itself. If a bank were to attend exclusively to the objective of maintaining liquidity, it would keep all its assets in the form of money. But money is the most barren of all investments because it does not yield any income whatsoever. On the other hand, if the bank were to keep its assets in the form of long-term loans, income from the assets would be high, but liquidity would be very low. *Liquidity and income-yielding capacity are the two opposite criteria for every bank based on which it has to decide the nature of its assets.* The more liquid the assets, the less income-yielding they will be, and *vice versa*. *The secret of success for a bank lies in striking a sound balance between liquidity and profitability.* Every bank divides its assets into forms of various degrees of liquidity and profitability. Some of its assets are kept in the form of cash which is very liquid, though non-income yielding, some assets take the form of property which is of low liquidity but yields good income. In between the two, lies other assets with different degrees of liquidity and income-yielding capacity.

The traditional concept of liquidity has been replaced by the concept of *shift-ability*. The shift-ability concept has a much wider breadth and shift-ability has made possible the flow of bank credit amongst a larger number of borrowers and for longer dates without much impairing the security of lending. In recent years the concept of liquidity has undergone further changes. The term loans are liquidated by the *anticipated income of the borrower*. In the case of the anticipated income concept, the borrower has to save and repay their loans out of earnings. This concept has the advantage of financing durable consumer goods because loans made for the purchase of durable consumer goods cannot be repaid by sale nor can they be shifted to the open market or the central bank. These loans can be later repaid out of the expected income of the borrower.

14.7 RECENT TRENDS AND PERFORMANCE OF BANKING INDUSTRY IN INDIA

Over the years, the Indian banking industry has experienced an upward trajectory majorly supported by strong economic growth, rising disposable incomes and easier access to credit. The last few years have seen fast growth in digital modes of payments which has also supported the growth of the Indian banking industry.

As of April 2024, there were 581 banks actively using UPI. The total number of digital transactions during this period amounted to 15.08 billion, with a total value of US\$ 25.27 billion (Rs. 2.1 trillion).

In recent years, India has also experienced a rise in fintech and microfinancing. India's digital lending stood at US\$ 75 billion in FY18 and is estimated to reach US\$ 1 trillion by FY23 driven by the five-fold increase in digital disbursements. The Indian fintech market has attracted US\$ 29 billion in funding over 2,084 deals so far (January 2017-July 2022), accounting for 14% of global funding and ranking second in terms of deal volume. By 2025, India's fintech market is expected to reach Rs 6.2 trillion (US\$ 83.48 billion). According to the Reserve Bank of India (RBI), India's banking sector is sufficiently capitalised and well-regulated.

In past decade, the Indian banking industry has rolled out various innovative models. One of them is Small Finance Banks (SFB) like Ujjivan Small Finance Bank, AU Small Finance Bank etc. RBI granted licenses to Small Finance Banks in 2015 and since then, they have come a long way in providing banking services to the masses. In subsequent years, RBI has granted two additional SFB licenses taking the total SFBs in the country to 12. Out of these Fincare, Small Finance Bank Limited ("Fincare SFB") has merged with and into AU Small Finance Bank Limited ("AU SFB"), effective 1st April 2024. Thus, total number of SFBs is now 11. SFB has emerged as a new category of banks in India that cater primarily to the financially unserved and under-served sections of society. These banks provide basic banking services to unbanked and under-banked populations thus supporting financial inclusion. Small Finance Banks are likely to play a significant role in the future of banking in India because of their approach of reaching the unreached by extending credit to small businesses, micro-enterprises, and low-income households. SFBs are different from Commercial banks in terms of their capital requirement, services offered, loan products and target customers. Unlike Commercial banks, SFBs offer basic banking services only and have a minimum capital requirement of ₹ 200 crores as against the capital requirement of ₹ 500 crore in the case of a commercial bank.

Payments Banks is another model of commercial banking in India. However, it differs from regular banking as the Payments banks are neither allowed to

lend money or issue credit cards to their customers. At present 4 Payments banks are working in the country.

Another innovative banking model is neo-banking. Neobanks are digital-only banking platforms that operate only online. Thus, they do not have a physical presence. Sometimes, transactions in traditional banks could require a lot of time and effort. Neobanks provides a seamless online experience where customers can create accounts by themselves and use their offerings hassle-free. Since RBI does not permit fully digital banking establishments yet, neobanks in the country use partnerships with physical banks to deliver some of their key services.

In the past decade, India has also focused on increasing its banking sector reach, through various schemes like the Pradhan Mantri Jan Dhan Yojana and India Post payment banks. India Post Payments Bank (IPPB) is an accessible, affordable and reliable bank for the common man. With the help of just an Aadhaar Card, any person in a village can avail of banking facilities provided by IPPB by requesting the same from the local Postman/Gramin Dak Sevak. Schemes like these coupled with major banking sector reforms like digital payments, neo-banking, a rise of Indian NBFCs and fintech have significantly enhanced India's financial inclusion and supported the credit cycle in the country. The digital payments system in India has evolved the most among 25 countries with India's Immediate Payment Service (IMPS) being the only system at level five in the Faster Payments Innovation Index (FPPI). India's Unified Payments Interface (UPI) has also revolutionized real-time payments and has strived to increase its global reach in recent years.

Trend and Performance of Commercial Banks since 2020-21

During 2020-21, scheduled commercial banks (SCBs) reported a discernible improvement in their asset quality, capital buffers and profitability, notwithstanding the disruptions of the pandemic. While credit offtake remained subdued, elevated deposit growth on the liabilities side was matched by growth in investments on the assets side.

The Indian banking sector remained resilient in 2021-22 and 2022-23 so far, as banks witnessed healthy balance sheet growth on a broad-based acceleration in credit. Deposit growth moderated from the COVID-19-induced precautionary surge. Augmented capital buffers, better asset quality and enhanced profitability indicators reflected their robustness.

Reserve Bank of India, on June 27, 2024 released the 29th issue of the Financial Stability Report (FSR), which reflects the collective assessment of the Sub-Committee of the Financial Stability and Development Council (FSDC) on the resilience of the Indian financial system and risks to financial stability.

Highlights of the report are as follows:

- The global economy is facing heightened risks from prolonged geopolitical tensions, elevated public debt, and the slow progress in the last mile of disinflation. Despite these challenges, the global financial system has remained resilient, and financial conditions stable.
- The Indian economy and the financial system remain robust and resilient, anchored by macroeconomic and financial stability. With improved balance sheets, banks and financial institutions are supporting economic activity through sustained credit expansion.
- The capital to risk-weighted assets ratio (CRAR) and the common equity tier 1 (CET1) ratio of scheduled commercial banks (SCBs) stood at 16.8 per cent and 13.9 per cent, respectively, at end-March 2024.
- SCBs' gross non-performing assets (GNPA) ratio fell to a multi-year low of 2.8 per cent and the net non-performing assets (NNPA) ratio to 0.6 per cent at end-March 2024.
- Macro stress tests for credit risk reveal that SCBs would be able to comply with minimum capital requirements, with the system-level CRAR in March 2025 projected at 16.1 per cent, 14.4 per cent and 13.0 per cent, respectively, under baseline, medium and severe stress scenarios. These scenarios are stringent conservative assessments under hypothetical shocks and the results should not be interpreted as forecasts.
- Non-banking financial companies (NBFCs) remain healthy, with CRAR at 26.6 per cent, GNPA ratio at 4.0 per cent and return on assets (RoA) at 3.3 per cent, respectively, at end-March 2024.

Check Your Progress 3

- 1) Discuss some recent trends experienced in the Banking sector in India.
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- 2) What are the limitations on banks in credit creation?
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- 3) Why is there a clash between liquidity and profitability? What is the concept of shift-ability?
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14.8 LET US SUM UP

Financial intermediaries like banks are unique and specialize in performing functions such as (a) mobilizing savings and channelling them to the most productive users, and (b) acting as efficient conduits for payments.

Banks perform a large variety of functions. The main banking services are: Acceptance of money on deposit from the public broadly speaking, these deposits are of three main types viz., current, savings and fixed, which can be reclassified under two main heads of demand and time deposits. Commercial banks lend money, process payments, issue bank drafts and checks, and offer safety deposit boxes for items and documents. Commercial Banks provide *Grant of credit* to all sectors of the economy, and not merely to trade and commerce. This is done in various forms such as loans and advances, discounting of bills, and investment in open-market securities.

Modern commercial banking is based on a system of fractional reserves. This is why banks all over the world keep only a small portion of the deposits in liquid form. The balance is invested and it is in this way, through the making of loans and the purchase of securities, that profits are made.

The creation of credit is a major function of a commercial bank. When a bank advances loans, there tends to be a multiple expansion of credit in the banking system. Primary deposits serve as a basis for creating derivative deposits, that is, credit creation, and for increasing the money supply. However, there are various limitations to the ability of banks to create credit. The more liquid assets comprise cash, money at *call and short notice and bills*. The banks must strike a careful balance between their obligation to their customers and the requirements of their shareholders.

Bankers are to strike a balance between two conflicting objectives. The distribution of bank assets is the result of a compromise between (a) the necessity always to be able to pay cash on demand, and (b) the desire for profit. The more liquid the asset, the less profit it will generally yield to the bank. Cash is the most liquid asset – earning no profit at all.

Banks not only encourage savings but also constitute the agency through which even small sums saved by individuals find their way to profitable investments. *Banks channelise funds according to priorities*. They are, therefore, in a special position to encourage those industries that are high up on the list of priorities. The more *capital formation* the faster the economic advancement of the country.

Over the years, the Indian banking industry has experienced an upward trajectory majorly supported by strong economic growth, rising disposable incomes and easier access to credit. In past decade, banking sector in India has rolled out various innovative models surrounding, digital payments, neo-banking, Small Finance Banks (SFB) etc. These developments are poised to take India's financial system to newer heights.

14.9 KEY WORDS

Banks	: Financial institutions that accept deposits and make loans.
Bill of exchange (or draft)	: A negotiable instrument with three parties to the agreement the drawer of the order, the drawee, who is ordered to make payment, and the payee. For instance, a commercial bank cheque is a draft on the bank by the depositor payable to a designated payee.
Cash reserve ratio (CRR)	: The fraction of deposits that the RBI requires to be kept as reserves by the banks.
Central Bank	: The Government agency oversees the banking system and is responsible for the amount of money and credit supplied to the economy. In India, the Reserve Bank of India is the Central Bank of the country.
Credit Creation	: The power of the banks to multiply loans and advances through creating deposits.
Derivative Deposits	: These consist of deposits created by the banks in the process of granting credit. The loan sanctions and credited to the accounts of the borrowers create new deposits. Since a derivative deposit is actively created by the bank, it increases the total stock of money available to the community. The creation of derivative deposits is identical to what is commonly known as credit creation by commercial banks.
Differentiated Banking	: A specialised banking identity that serves the underserved segments of the economy/society efficiently.
Liquidity	: The relative ease and speed with which an asset can be converted into cash.
Primary Deposit	: A deposit account opened by a bank by accepting cash from the public.
Vault cash	: Currency that is physically held by banks and stored in vaults overnight.

14.10 SOME USEFUL BOOKS

- Auerbach, Robert D. (1983): *Financial Markets and Institutions*, Macmillan Publishing Co. Inc., New York (Chapter – 18).

- Crowther, Geoffrey (1941): *'An Outline Of Money'*, Thomas Nelson and Sons Ltd., London, UK
- Gupta, Suraj B. (1985): *Monetary Economics; Institutions, Theory and Policy*, S. Chand and Company, New Delhi (Chapter – 5).
- Hubbard, R Glenn (2002): *Money, the Financial System, and the Economy*, Addison Wesley, New York (Chapter 12, 13 and 14).
- Mishkin, Frederic S. (2000): *Financial Markets and Institutions*; Addison Wesley, New York (Chapter 15 & 16).
- Newlyn, W.T. (1971): *Theory of Money*, 2nd edition, Oxford University Press, UK
- Ritter, Lawrence S., William L. Silber, and Gregory F. Udell (2007): *Principles of Money, Banking and Financial Markets*, 12th edition, Pearson, London, UK

14.11 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) A profit-seeking institution which pays interest at a low rate to the depositors and charges a higher rate of interest to the borrowers and in this way, the bank earns a profit. Banks are dealers in debt- A deposit is a debt which the bank owes to the depositor; a banknote is a sort of promissory note.
- 2) They act as middlemen between lenders and borrowers, creating and issuing financial obligations of claims against themselves to acquire profitable financial claims against others. A chief function of an intermediary is to provide liquidity.
- 3) Accepting Deposits, Liability-Asset transformation, Risk transformation, Discounting Bills of Exchange, Loans and Advances.

Check Your Progress 2

- 1) Retail banking is the visible face of banking to the general public, with bank branches located in abundance in most major cities. **Corporate banking, also known as business banking**, refers to the aspect of banking that deals with corporate customers.
- 2) Refer to Section 14.4
- 3) A system in which banks provide a wide variety of financial services, including commercial and investment services. It combines the services of a commercial bank and an investment bank, providing all services

from within one entity. It helps banks to diversify risk, lower costs, and handle changes in the type of product demanded.

- 4) Refer to Sub-section 14.4.3

Check Your Progress 3

- 1) Refer to Section 14.7
- 2) Banks are dependent on other banks to maintain liquidity ratio, the amount of cash in existence, and the amount of cash people prefer to hold.
- 3) Refer to Sub-section 14.6.1

14.12 TERMINAL QUESTIONS

- 1) Explain the concept of a Bank. What are its functions?
- 2) How do commercial banks create credit? Are there any limitations on the power of the bank to create credit? Give reasons for your answer.
- 3) Examine the conflict between liquidity and profitability. How do banks strike a sound balance between these two?
- 4) Point out the significance of the banking system in promoting the economic development of a country.
- 5) Write a note on recent trends in the banking industry in India.